

ABARES Agricultural, Fisheries and Forestry trade classification

Document	File size
ABARES Agricultural, Fisheries and Forestry trade classification XLSX	247 KB
Release notes PDF	236 KB

If you have difficulty accessing these files, visit [web accessibility](#) for assistance.

ABARES has updated the tailored product classification used to identify Agricultural, Fisheries and Forestry goods exported from Australia. This classification will be applied to ABARES publications from December 2022. It is made available as a reference for interested users. It allows users to understand the definitions applied to the underlying data, and to determine if the data reported meets their needs.

The classification is based on the January 2022 version of the [Australian Harmonized Export Commodity Classification](#) (AHECC). It is defined at the 8-digit AHECC level. It updates and replaces the previous version which was based on the January 2017 version of AHECC.

This classification was developed with close reference to existing standards, including the classification for Agricultural goods outlined in Annex 1 of the World Trade Organization (WTO) [Agreement on Agriculture](#), the [Australian Fish Names Standard](#) and the World Customs Organization [Harmonised System](#).

The AHECC system undergoes updates every 5 years, in line with updates to the Harmonised System carried out by the World Customs Organization. ABARES classification will be updated in line with this schedule and may also be updated from time to time if other revisions are made to the AHECC classification which warrant updates.

All export data reported by ABARES under this classification are sourced from the Australian Bureau of Statistics International Merchandise Trade Statistics. Users should familiarise themselves with the relevant [concepts, sources and methods document](#) regarding these statistics. These statistics are subject to confidentiality provisions applied by the Australian Bureau of Statistics. For details on all confidentiality restrictions applied, see the latest [International Merchandise Trade: Confidential Commodities List](#).

ABARES aims to produce high quality data from Australian International Merchandise Trade Statistics. To achieve this, extensive effort is put into product classification and data processing, verification and validation. The definition is informed with reference to externally maintained classifications, but ABARES subject matter experts determine the final classification.

International trade data released by the Australian Bureau of Statistics (ABS) are sometimes subject to confidentiality restrictions at the commodity level. This reduces the level of detail available to end users, including ABARES. This is done to protect the identity of exporting businesses. The level of restrictions

applied varies and for certain goods these restrictions mean that export data is not available at all. The restrictions, and the items that they are applied to, can change monthly.

Australian Bureau of Statistics export data compiled and published by ABARES are affected by this practice. In most cases, no adjustments are made to the statistics to account for data which is missing due to confidentiality restrictions. Therefore, ABARES published estimates of total agricultural trade should be considered an underestimate of the 'true' value of agricultural goods exported. The balance of trade is captured in official ABS trade statistics in a combined 'all confidential commodities' category.

However, there are some exceptions to this approach. In certain cases, the restrictions applied to the data significantly reduce ABARES ability to analyse agricultural industries and forecast their future performance. For instance, significant shares (by value) of Australia's sugar and rice export data are made confidential, making analysis of the export performance of these industries difficult. In these cases, ABARES creates estimates of the exports of these commodities - both volume and value. These estimates are informed by a combination of importing-country data (which may not be subject to the same restrictions), analysis of likely exportable supplies, other market intelligence, and professional judgement. These estimates are not official statistics and should be treated and used with caution. They are only created at the level of detail necessary for ABARES' own broad industry analysis, and not at the same level of detail as the original trade data.

As of December 2022, ABARES creates export estimates for sugar and rice exports.

Suppression can be applied or removed by the Australian Bureau of Statistics at any time, so often there are 'gaps' in the time series of certain commodities. Where ABARES has previously created unofficial estimates for these periods, they remain in the historical statistics published by ABARES. An example is shown in Box 1.

More information on the legal principles and application of confidentiality provisions can be found at the Australian Bureau of Statistics website, under the Data Confidentiality chapter of the International Merchandise Trade, Australia: Concepts, Sources and Methods, 2018 publication. A list of current and historical confidentiality provisions is maintained by the Australian Bureau of Statistics, known as the International Merchandise Trade: Confidential Commodities List.

Box 1 Adjustments to lupin exports, 1993 to 2000

Between July 1993 and March 2000, all data on exports of lupins were suppressed by the Australian Bureau of Statistics. ABARES created its own estimates of the volume and value of lupin exports during this period. These estimates remain part of ABARES historical time series. The difference between the official trade statistics published by the ABS and ABARES estimates are shown in Figure 1.

Figure 1: Lupin export volume figures from ABS and ABARES, 1988-89 to 2003-04

ABS international trade data

Accounting of international merchandise trade: The valuation of Australian merchandise exports and imports used in the accounting of international trade in the Australian Balance of Payments and the international trade statistical system are in accordance with the definitions published in the harmonised international standards determined by the International Monetary Fund, Balance of Payments Manual (version 5), 1993 and the United Nations, System of National Accounts, 1993.

Agricultural is a term used to describe unprocessed or processed agricultural products, as defined in ABS International merchandise trade, Australia: concepts, sources and methods, 2018. These products include grains and flours, fresh and processed fruits and vegetables, meat and meat products, dairy products, natural fibres, sugar and wine. This differs from ABARES classification of 'farm' production (see Australian production statistics section).

Australian merchandise exports are valued on a free on board (fob) basis at the Australian port of export. The costs of freight, insurance and other distributive services (cif) beyond the Australian customs border are not included.

Free on board (fob) means that a seller pays for transportation of the goods to the port of shipment, plus loading costs.

Australian merchandise imports are valued on a customs value for duty basis that is identical to a free on board (fob) basis. The customs value for duty is the price actually paid at the port of origin, including inland freight and insurance costs incurred in delivering the commodity to the port of origin. The freight and insurance costs of delivering the commodity(s) to the Australian port of destination are excluded.

Cost, insurance, freight (cif) means that the buyer pays the cost of marine freight transport, insurance, unloading, and transportation from the arrival port to the final destination.

Export quantity: Data supplied by the Australian Bureau of Statistics (ABS) based on the net product weight (excluding packaging) exported.

Export value: Data supplied by the ABS valued on a free on board (fob) basis at the Australian port of export. The cost of freight, insurance and other distributive services beyond the Australian customs border (cif) are not included.

Import quantity: Data supplied by the ABS on the basis of the net product weight (excluding packaging) imported.

Re-exports (included in merchandise exports statistics): Goods originally imported, which are then exported in either the same condition in which they were imported, or after undergoing repair or minor operations which leave them essentially unchanged. Re-exports are not considered to be Australian production or manufacture. Minor operations include blending, packaging, bottling, cleaning and sorting.

Re-imports (included in merchandise imports statistics): Goods originally exported, which are subsequently imported in either the same condition in which they were exported, or after undergoing repair or minor operations which leave them essentially unchanged. Minor operations include blending, packaging, bottling, cleaning and sorting.

Australian production statistics

Aquaculture: Commercial growing of marine or freshwater animals and aquatic plants.

Aquaculture value is assessed value received by aquaculturists on the basis of an 'at farm gate' equivalent for product marketed.

Marketing years are 12-month periods specific to individual commodities that begin around the time that harvesting usually commences. Balance sheet components (stocks, production, consumption and trade) are typically reported on a marketing year basis. For more information, including a guide to marketing years for major Australian crops, see [Changes to reporting of marketing year balance sheets](#).

Estimated Value of Agricultural Operations (EVAO)

The EVAO is used to determine the coverage for the Agricultural Census and therefore production quantities and the gross value of production (GVP) values. The EVAO is an ABS construct used to estimate the relative size of agricultural activity undertaken by a business.

Three-year weighted average prices are applied to livestock sales and livestock numbers on the farm, and to area and production data for crops. A three-year weighted average is used to minimise the effects of both large movements in commodity prices and seasonal conditions which may otherwise unduly influence a business EVAO.

The resulting aggregation of these commodity values is the EVAO. It is not an indicator of the value of receipts of individual farms (turnover) but rather an indicator of the size or extent of agricultural activity.

The EVAO used by ABS has changed over time and the time series data presented are based on the following:

Details for establishments with estimated value of agricultural operations (EVAO) of \$2,500 or more until 1985–86; EVAO of \$5,000 or more from 1986–87 to 1988–89; EVAO of \$20,000 or more from 1989–90 to 1990–91; EVAO of \$22,500 or more from 1991–92 to 1992–93; EVAO of \$5,000 or more from 1993–94 to 2014–15 and EVAO of \$40,000 or more from 2015–16.

Farm: ABARES' definition of farm is reserved for capturing the value of products that are sold from agricultural properties and that are either unprocessed or minimally transformed. These include grains, livestock sales and slaughterings, milk, sugar cane and wine grapes. This differs from the ABS classification of 'agriculture' exports (see ABS international trade data section).

Fisheries refers to Commonwealth, state and territory waters in which marine and freshwater animals are commercially caught or farmed, unless otherwise specified.

Fisheries production refers to commercial production of wild-caught and aquaculture marine or freshwater animals from Commonwealth, state and territory waters and aquaculture farms, unless otherwise specified. The farm gate value of a cultivated product in aquaculture is the net value of the product when it leaves the farm, after marketing costs have been subtracted.

Gross value of production

Historically, the gross value of production is the value placed on recorded production at the wholesale prices realised in the marketplace. The point of measurement can vary between commodities. Generally the marketplace is the metropolitan market in each state and territory. However, where commodities are consumed locally or where they become raw material for a secondary industry, these points are presumed to be the marketplace. Prices used in these calculations exclude GST.

More recently, the gross value of production is calculated using gross prices realised at the point(s) of valuation where ownership of the commodity is relinquished by the agricultural sector. For example, fruit can be sold into the fresh fruit market, to factories for processing and/or is exported.

Production value is the assessed value at the point of landing for the quantity produced (excludes transport and marketing costs).

Real: 'Real dollars' or 'real terms' refer to the conversion of nominal dollar values to take account of inflation. Comparisons from year to year are expressed in nominal terms unless stated otherwise.

All values and prices are in nominal terms unless stated otherwise.

Small discrepancies in totals are generally caused by rounding. Zero is used to denote nil or a negligible amount.

Abbreviations

\$m million dollars (Australian)

€ euro

£ pound sterling

¥ yen

A\$ dollar (Australian)

ABARE Australian Bureau of Agricultural and Resource Economics

ABARES Australian Bureau of Agricultural and Resource Economics and Sciences

ABS Australian Bureau of Statistics

ACT Australian Capital Territory

AFMA Australian Fisheries Management Authority

ANZSIC	Australian and New Zealand Standard Industrial Classification
ASMC	Australian Sugar Milling Council
AWEX	Australian Wool Exchange
b	billion (Australian)
BAE	Bureau of Agricultural Economics (now ABARES)
BRS	Bureau of Rural Sciences (now ABARES)
c	cent (Australian)
CBA	Commonwealth Bank of Australia
CIS	Commonwealth of Independent States
cif	cost, insurance and freight
CL	Chemical Lean
CME	Chicago Mercantile Exchange - Chicago Board of Trade
cw	carcase weight
DAFF	Department of Agriculture, Fisheries and Forestry
DAWE	Department of Agriculture, Water and the Environment (now Department of Agriculture, Fisheries and Forestry)
DAWR	Department of Agriculture and Water Resources (now Department of Agriculture, Fisheries and Forestry)
DFAT	Department of Foreign Affairs and Trade
doi	digital object identifier
DM	deutschmark
ECU	European currency unit
EMI	Eastern Market Indicator
EU	European Union
EVAO	estimated value of agricultural operations
FAO	Food and Agriculture Organization of the United Nations
fas	free alongside ship
fob	free on board
fot	free on truck
GDP	Gross Domestic Product
GL	gigalitres (1,000,000,000 litres)
GST	Goods and Services Tax
ha	hectare (2.471 acres)
IGC	International Grains Council
IMF	International Monetary Fund
ITC	International Trade Centre
kg	kilogram (2.20462 pounds)

kL	kilolitre (1,000 litres)
kt	kilotonne (1,000 tonnes)
L	litre (1.761 pints)
lb	pound (454 grams)
na	not available
NAFTA	North American Free Trade Agreement
nec	not elsewhere classified
nei	not elsewhere included
nfd	not further defined
no.	number
NT	Northern Territory
m	million (Australian)
m3	cubic metre (1.307 cubic yards)
ML	megalitre (1,000,000 litres)
MLA	Meat & Livestock Australia
Mt	megatonne (1,000,000 tonnes)
org	organisation
RBA	Reserve Bank of Australia
Rep.	Republic
sw	shipped weight
t	tonne (1,000 kilograms)
UN	United Nations
USc	cent (United States)
US\$	dollar (United States)
USDA	United States Department of Agriculture

Source: <https://www.agriculture.gov.au/abares/research-topics/agricultural-outlook/definitions>